

Punjab National Bank

PNB | Financials

ROE	ROCE	OPM
61.3%	1.3%	N/A
D/E Ratio	Interest Coverage	EPS
3.68	0.2x	■8.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■109,065	■9,157
2023-03	■86,845	■3,359
2022-03	■76,242	■3,908
2021-03	■81,935	■2,695
2020-03	■54,918	■485

Cash Flow Intelligence

Metric	Value
CFO Quality	Accrual Risk
CapEx Intensity	Asset Light
Capital Allocation	Distress Signal
FCF 5Y CAGR	N/A
Distress Flag	YES ■

✓ Investment Strengths (Pros)

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Profits growing faster than revenue shows improving operating leverage and scale benefits

■ Investment Concerns (Cons)

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility